

**Time:** 5 minutes**Outcome:** Distinguish curve shifts from movements and predict the new equilibrium.**Difficulty:** ●●○ Intermediate

Loanable-Funds Shifts



THE CORE IDEA

A change in national saving shifts loanable-funds supply; a change in expected investment profitability shifts demand. Saving incentives or higher public saving can shift supply right. A larger budget deficit can shift supply left. Investment tax incentives, technology, or stronger expected sales can shift demand right. The real interest rate itself causes movement along both curves.



HOW TO RECOGNIZE IT

- More saving at every real rate shifts supply right; less saving shifts it left.
- More profitable investment projects shift demand right; fewer shift it left.
- Supply right lowers the real rate and raises equilibrium funds.
- Demand right raises both the real rate and equilibrium funds.

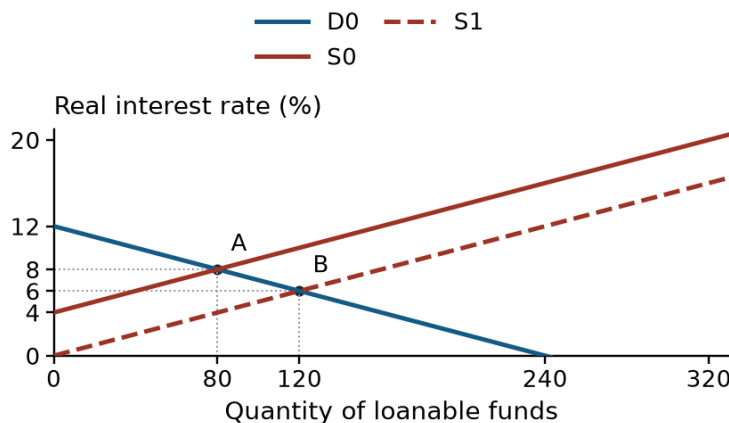


WATCH OUT

Do not shift a curve because the equilibrium real rate changed. First identify the non-rate event; then move along the other unchanged curve to the new equilibrium.



WORKED EXAMPLE: A SAVING INCENTIVE



A tax incentive makes households more willing to save at every real rate. Supply shifts right from S_0 to S_1 while investment demand D_0 stays fixed. Equilibrium moves from A to B: the real rate falls from 8 to 6 percent and loanable funds rise from 80 to 120.



CHECK YOURSELF

New technology raises expected returns on capital. Which curve shifts, and what happens to the real rate?

**READY?**

Return to the game and master this concept.